PROJECT REPORT / INVESTMENT MEMORANDUM

9 & 9A Stonegate, York, YO1 8AN

YO1 8AN

OFFICE -> RESIDENTIAL CONVERSION

5 units | 3,122 sq ft NIA

GDV	**£1,370,000**
Total Development Cost	**£1,147,784**
Profit on Cost	**19.4%**
Profit on GDV	**16.2%**
IRR (Annual)	**n/a**
Equity Contributed	**£400,000**

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DRAFT | Calc 2.6.0 | Inputs v4 | Scenario: Base Case

0. Report Provenance

Field	Value
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1. Executive Summary

This memorandum presents the investment case for the acquisition and conversion of 9 & 9A Stonegate, York, YO1 8AN from office use to 5 residential units under Permitted Development Rights.

The Ask

Total development cost is £1,147,784, funded through £400,000 equity and peak senior debt of £727,205 (development finance), representing gross LTC of 63.4%.

Use of Funds

Category	Amount	% of Total
Acquisition (inc. SDLT)	£447,875	39.0%
Construction	£573,300	49.9%
Professional Fees	£26,000	2.3%
Statutory Costs	£2,480	0.2%
Selling Costs	£12,600	1.1%
Finance Costs	£85,529	7.5%
Total	£1,147,784	100.0%

Headline Returns

GDV of £1,370,000 against total development cost of £1,147,784 generates a profit of £222,216 (unrealised — subject to refinance/valuation), equating to 19.4% profit on cost and 16.2% profit on GDV. Annualised IRR is not available (no sign change in equity flows), with an unrealised return on equity of 55.5% over a 18-month programme. That return on equity is an accounting return on the value created, not cash distributed to equity: it is stated before any realisation event and must not be read as a distributed return.

Exit

Primary exit: Blended exit — partial sale and partial retention.

2. The Opportunity

The property at 9 & 9A Stonegate, York, YO1 8AN is a office premises being offered at £425,000 (Guide price). The building comprises 3 storeys with a gross floor area of approximately 500 m² (5,382 sq ft).

Tenure is freehold. EPC rating: C. Vacancy status: Occupied.

The subject comprises a mid-terrace period building arranged over three floors, with ground-floor retail accommodation and upper parts in ancillary use.

[Information Required: Market rationale — why this asset, why now, demand drivers]

3. The Scheme

Description

Conversion of existing office premises to 5 residential units comprising a total of 290 m² (3,122 sq ft) net internal area.

Proposed Unit Mix

Unit	Type	NIA (m²)	NIA (sq ft)	Est. Value	£/sq ft	Notes
1	1-Bed	52	560	£250,000	£446	12 Stonegate, sold Feb 2026
2	1-Bed	50	538	£245,000	£455	—
3	1-Bed	50	538	£245,000	£455	—
4	2-Bed	68	732	£310,000	£424	—
5	2-Bed	70	753	£320,000	£425	—
	5 units	**290**	**3,122**	**£1,370,000**	**£439**	

Planning Position

Eligible for conversion under CLASS MA. Eligibility verdict: AMBER.

Pending verification: Vacant for 3+ months.

[Information Required: Design and specification status, procurement route, contractor]

4. Market Evidence

Comparable evidence should support the revenue assumptions adopted in the appraisal. Each comparable is listed below with address, transaction date, size, achieved £/sq ft, and source.

Comparable Notes from Unit Schedule

1-Bed (52 m²) at £250,000 — 12 Stonegate, sold Feb 2026

[Information Required: Full comparable table: address, date, size (sq ft), £/sq ft, source for each transaction]

[Information Required: Absorption rates, demand drivers, local market commentary]

5. Development Appraisal

Revenue

Item	Amount
Gross Development Value (GDV)	£1,370,000
Blended £/sq ft	£439
Lender-Underwritten GDV	£1,267,250
Variance vs Developer GDV	-£102,750 (-7.5%)

Lender valuation basis: Valuer applied a discount to the sponsor comparables — A. Valuer MRICS, 14 July 2026.

Programme: explicit (anchored 2026-09).

Sales phasing: 3 tranches (months Nov 2027, Jan 2028, Mar 2028).

Refinance: not modelled.

Headline Cost Estimate

Element	Amount	£/sq ft
ACQUISITION		
Purchase price	£425,000	£136
SDLT	£10,750	£3
Legal fees	£7,500	
Survey	£2,500	
Broker fee rate	0.5%	
Other acquisition costs	£0	
Sub-total acquisition (inc. SDLT, fees)	£447,875	£143
CONSTRUCTION		
Build rate	£1,450/m²	
Contingency rate	10.0%	
Fire safety	£15,000	
Sound insulation	£9,000	
Part L compliance	£7,000	
Sub-total construction (inc. contingency)	£573,300	£184
PROFESSIONAL FEES		
Architect	£12,000	
Structural engineer	£4,500	

Element	Amount	£/sq ft
M&E	£4,000	
Planning consultant	£3,500	
Other professional fees	£2,000	
Sub-total professional fees	£26,000	£8
STATUTORY COSTS		
Prior approval fee per dwelling	£96	
CIL / S106	£0	
Building control	£2,000	
Sub-total statutory costs	£2,480	£1
FINANCE COSTS		
Arrangement fee (2.0% of committed net facility)	£15,000	
Exit fee (1.0% of committed gross facility)	£0	
Interest (9.0% p.a., 18 months)	£60,329	
Ancillary lender fees	£10,200	
Sub-total finance costs	£85,529	
TOTAL DEVELOPMENT COST	£1,147,784	£368

Appraisal Metrics

Gross Development Value	£1,370,000
Total Development Cost	£1,147,784
Developer Profit (unrealised)	£222,216
Profit on Cost	19.4%
Profit on GDV	16.2%
Return on Equity (unrealised)	55.5%
Equity Multiple	0.00x
IRR (Annual)	not available (no sign change in equity flows)
Residual Land Value (at 20.0% target profit on cost)	£429,632

Residual Land Value Check

At the deal spider's configured target profit on cost of 20.0%, the residual land value is £429,632. The purchase price of £425,000 is £4,632 below the RLV, representing positive headroom of 1.1%. This RLV uses the appraisal's own finance and SDLT (spec §3.18) — it is not re-solved for the residual price.

6. Programme

Timeline

Package	Start	Finish	Curve
Construction	Dec 2026	Aug 2027	straight_line
Professional	Sep 2026	Aug 2027	s_curve
Statutory	Oct 2026	Nov 2026	straight_line

Total programme: 18 months. Peak senior debt of £727,205 is reached in Nov 2027 of the programme. Total interest cost: £60,329.

Monthly Cashflow

Month	Draw	Cum. Draw	Interest	Closing Bal.	Receipts	Equity CF	Cum. Equity CF
Sep 2026	£250,000	£250,000	£1,988	£266,988	£0	-£208,998	-£208,998
Oct 2026	£0	£250,000	£2,002	£268,990	£0	-£2,299	-£211,297
Nov 2026	£0	£250,000	£2,017	£271,007	£0	-£3,066	-£214,363
Dec 2026	£0	£250,000	£2,033	£273,040	£0	-£66,392	-£280,755
Jan 2027	£0	£250,000	£2,048	£275,088	£0	-£66,835	-£347,590
Feb 2027	£14,655	£264,655	£2,173	£291,916	£0	-£52,410	-£400,000
Mar 2027	£67,065	£331,720	£2,692	£361,673	£0	£0	-£400,000
Apr 2027	£66,835	£398,555	£3,214	£431,722	£0	£0	-£400,000
May 2027	£66,392	£464,947	£3,736	£501,850	£0	£0	-£400,000
Jun 2027	£65,766	£530,713	£4,257	£571,873	£0	£0	-£400,000
Jul 2027	£64,999	£595,712	£4,777	£641,648	£0	£0	-£400,000
Aug 2027	£64,143	£659,855	£5,293	£711,085	£0	£0	-£400,000
Sep 2027	£0	£659,855	£5,333	£716,418	£0	£0	-£400,000
Oct 2027	£0	£659,855	£5,373	£721,791	£0	£0	-£400,000
Nov 2027	£0	£659,855	£5,413	£436,245	£296,000	£0	-£400,000
Dec 2027	£0	£659,855	£3,272	£439,516	£0	£0	-£400,000
Jan 2028	£0	£659,855	£3,296	£188,223	£259,000	£0	-£400,000
Feb 2028	£0	£659,855	£1,412	£7,784	£185,000	£0	-£400,000

Cost to Complete

First funding shortfall: none — fully funded throughout. Maximum shortfall: £0.

Month	Remaining Cost	Remaining Funding	Surplus
Month 1	£659,199	£676,002	£16,803
Month 2	£654,898	£673,703	£18,805
Month 3	£649,815	£670,637	£20,823
Month 4	£581,390	£604,245	£22,855
Month 5	£512,506	£537,410	£24,903
Month 6	£443,269	£470,345	£27,076
Month 7	£373,512	£403,280	£29,769
Month 8	£303,463	£336,445	£32,982

Month	Remaining Cost	Remaining Funding	Surplus
Month 9	£233,334	£270,053	£36,718
Month 10	£163,311	£204,287	£40,975
Month 11	£93,536	£139,288	£45,752
Month 12	£24,100	£75,145	£51,045
Month 13	£18,766	£75,145	£56,379
Month 14	£13,393	£75,145	£61,752
Month 15	£7,980	£75,145	£67,165
Month 16	£4,708	£75,145	£70,437
Month 17	£1,412	£75,145	£73,733
Month 18	£0	£75,145	£75,145

7. Funding Request

Sources & Uses

Sources	Amount	Uses	Amount
Equity contributed	£400,000	Acquisition (inc. SDLT)	£447,875
Additional equity required	£0	Construction	£573,300
Funding gap (unfunded)	£0	Professional fees	£26,000
Senior debt draws	£659,855	Statutory costs	£2,480
Capitalised lender fees	£15,000	Selling costs	£12,600
Rolled-up interest	£60,329	Finance costs	£85,529
Proceeds applied — selling costs	£12,600		
Proceeds applied — exit fee	£0		
Total	£1,147,784	**Total**	£1,147,784

Sources and uses both total £1,147,784 (spec §7 invariant: sum of sources = sum of uses).

Key Lending Metrics

Peak senior debt	£727,205
Net LTC (excl. finance)	64.3%
Gross LTC (incl. finance)	63.4%
LTGDV (developer basis)	53.1%
LTGDV (lender basis)	57.4%
Facility headroom (gross)	£92,795
Interest reserve remaining	£9,671
Interest rate	9.0% p.a.
Interest type	Rolled up
Facility term	18 months
Senior repayment break-even (price)	£1,014,944
Senior break-even, % of lender GDV	80.1%
Senior break-even, fall from lender GDV	19.9%

Net LTC = cumulative net senior advances (principal draws + capitalised non-interest fees) ÷ development cost before disposal and finance (spec §5.4). Gross LTC = peak gross senior debt ÷ total development cost, TDC (spec §5.5). LTGDV = peak gross senior debt ÷ GDV [developer basis], or ÷ lender-underwritten GDV [lender basis, not available until a lender valuation is recorded]. Senior repayment break-even (spec §5.11) = minimum gross sale price fully redeeming the senior facility, including the disclosed enforcement-cost assumption of £0.

Senior break-even percentages are measured against the lender valuation: Valuer applied a discount to the sponsor comparables — A. Valuer MRICS, 14 July 2026.

[Information Required: Security package — first charge, debenture, personal guarantees]

[Information Required: Drawdown profile, priority of repayment]

8. Returns

Investor Returns

Internal Rate of Return (IRR, annual)	not available (no sign change in equity flows)
Equity Multiple	0.00x
Return on Equity (unrealised)	55.5%
Profit on Cost	19.4%
Profit on GDV	16.2%
Hold Period	18 months
Total Profit (unrealised)	£222,216
Developer profit break-even (price)	£1,153,994

Developer profit break-even (spec §5.12) = minimum gross sale price covering total development cost excluding selling costs (re-solved at that price) — lender- and debt-independent; distinct from the senior repayment break-even above.

[Information Required: Waterfall / promote structure (if JV)]

Lender Position — Day-one LTV

Day-one senior advance	£250,000
Day-one LTV (vs purchase price)	58.8%
Day-one LTV (vs day-one market value)	55.6%

Day-one LTV = the actual month-0 senior advance (not the committed facility) ÷ purchase price, or ÷ day-one market value where provided (spec §5.1). Dividing the total committed facility by purchase price is not a valid day-one LTV and is never reported.

9. Risk Register

#	Risk	Likelihood	Impact	Mitigation
1	Existing building structural capacity for new openings	Medium	High	Intrusive survey before contract
2	Planning prior approval refused or delayed	Low	High	Pre-application advice obtained
3	Construction cost inflation	Medium	Medium	Fixed-price contract at RIBA 4
4	Sales absorption slower than modelled	Medium	Medium	Retain-and-refinance contingent exit

The risk register should cover: planning risk, cost inflation, contractor insolvency, ground conditions / existing structure, MEES/EPC compliance, building safety (Gateway 2/3 where applicable), sales rate, interest rate, and exit liquidity.

[Information Required: Risks not yet addressed: contractor insolvency, ground conditions, MEES/EPC, building safety, sales rate, interest rate, exit liquidity]

10. Sensitivity & Downside

Every scenario below re-runs the full appraisal engine (runAppraisal) against adjusted GDV/cost/timeline/rate assumptions with the committed facility and equity sources held fixed — debt is never re-sized inside a scenario (spec §11.8). FE = facility exceeded, FG = funding gap, NR = senior debt not repaid within the modelled term.

Scenario Comparison

Metric	Base Case	Upside	Downside
GDV adjustment	+0%	+8%	-10%
Cost adjustment	+0%	-5%	+12%
GDV	£1,370,000	£1,479,600	£1,233,000
Total Development Cost	£1,147,784	£1,123,057	£1,231,282
Profit	£222,216	£356,543	£1,718
Profit on Cost	19.4%	31.8%	0.1%
Profit on GDV	16.2%	24.1%	0.1%
IRR (Annual)	n/a	-78.7%	n/a
Return on Equity (unrealised)	55.5%	89.1%	0.4%
Flags	Senior not repaid	None	Senior not repaid

Sensitivity Analysis

The spec §12 sensitivity analysis was not produced for this document: Invalid base document: Tranche month must be a whole month between 0 and 17. (spec §12.7).

Senior Debt Position

Senior repayment break-even prints under Key Lending Metrics (§7) and developer profit break-even under Investor Returns (§8). Both figures are computed on this appraisal's phased-disposal basis (calc 2.3.0, spec §5.11/§5.12).

11. Exit Strategy

Primary Exit

Blended exit — partial sale and partial retention.

Disposal costs: agent at 1.5% of sale price, legal at £1,500 per transaction.

Retained Portfolio

Unit	Size	Monthly Rent	Annual Rent	Capital Value	Gross Yield (indicative — not part of the appraisal)
2-Bed	68 m²	£1,420	£17,040	£310,000	5.5%
2-Bed	70 m²	£1,460	£17,520	£320,000	5.5%

Sale Tranches

Tranche	Month	Gross	Costs	Net
1	Nov 2027	£296,000	£5,040	£290,960
2	Jan 2028	£259,000	£4,410	£254,590
3	Feb 2028	£185,000	£3,150	£181,850

Redemption Schedule

Month	Senior balance before receipts
Nov 2027	£727,205
Jan 2028	£442,813
Feb 2028	£189,634

Contingent Exit

[Information Required: At least one contingent exit strategy with supporting evidence]

Contingent exits may include: sale of individual units to owner-occupiers at revised pricing, bulk sale to a registered provider or institutional PRS investor, or refinance onto long-term BTL debt.

12. Appendices

A. Assumption Schedule

Assumption	Value	Basis
Purchase price	£425,000	Asking price / offer
SDLT	£10,750	Commercial (non-residential) bands — England/NI only (spec §3.3)
Build rate £/m²	£1,450	Assumption — verify with QS
Contingency	10.0%	On base build cost only
Blended GDV £/sq ft	£439	Comparable evidence — verify
Committed net facility	£750,000	Confirmed
RLV target profit	20.0%	deal_spider.target_profit_on_cost_pct (configurable)
Interest rate	9.0% p.a.	Market rate / indicative terms
Interest type	Rolled up	Assumed
Loan term	18 months	Assumed programme duration
Arrangement fee	2.0%	Indicative terms
Exit fee	1.0%	Indicative terms
Construction VAT	Treatment unconfirmed	No reduced-rate saving assumed in this appraisal (spec §3.4)
Purchase VAT / TOGC	Unconfirmed	Purchase price treated as VAT-exempt/TOGC — unconfirmed (spec §3.3)
Agent fee	1.5%	Standard estate agent fee
Legal fee (disposal)	£1,500	Estimate

B. Information Required

#	Item
1	Market rationale — why this asset, why now, demand drivers
2	Full comparable evidence table (address, date, size, £/sq ft, source)
3	Planning permission reference / prior approval application status
4	Design and specification status
5	Procurement route and contractor details
6	Programme — key dates (start on site, PC, sales period)
7	Critical path and long-lead items
8	Sponsor / team track record and CVs
9	Professional team and warranties / collateral warranties
10	Insurance details (CAR, PI, etc.)
11	Security package details
12	Drawdown profile
13	Contingent exit strategy with evidence
14	Risk register gaps: contractor insolvency, ground conditions, MEES/EPC, building safety, sales rate, interest rate, exit liquidity

13. Basis of Preparation and Limitations

This document is a DRAFT development appraisal prepared from the sponsor's own inputs. It is NOT report-safe: one or more hard validations fail, and the figures may be wrong. No lender case has been submitted for credit approval. It is a draft because one or more hard validations fail. It is suitable for sponsor review and for preliminary lender appraisal. It is not a credit paper, a valuation, a cost plan, a tax opinion or a legal report, and no lender should rely on it for a credit decision without independently verifying the matters listed below.

What the figures rest on

#	Limitation
1	Construction cost is a headline rate x area estimate with named allowances, not a priced quantity-surveyed package schedule. No provisional sums, fixed-price coverage or package-level exclusions are modelled.
2	VAT is not modelled as a cash flow. Conversion VAT treatment is fact-specific and no reduced-rate saving is assumed; purchase VAT and any TOGC treatment are unconfirmed. An adverse VAT position would increase the funding requirement.
3	Acquisition tax is calculated on the England and Northern Ireland non-residential SDLT bands. A property in Scotland (LBTT) or Wales (LTT) is not correctly taxed by this version.
4	Areas are taken from the unit schedule and the entered construction area. There is no reconciled area bridge between existing GIA, proposed GIA, net internal area and saleable area.
5	Technical, title, occupation and planning due diligence is recorded as narrative and as a free-form risk register, not as an evidenced schedule with status, owner and date.
6	Profit and return on equity include the market value of the retained units, which is unrealised until those units are sold or refinanced. Only the realised element is reflected in the equity multiple and IRR.
7	This appraisal is not report-safe. The reconciliation panel in the application lists the failing validations; they must be cleared before the figures here are quoted.
8	The senior facility is not repaid within the modelled term. Whatever the exit route intends, this appraisal does not demonstrate repayment, and no document showing an unrepaid senior balance at maturity can be issued as a final lender report (spec §13.3).
	Prepared under calculation version 2.6.0, input schema v4. Every figure in this document comes from a single server-authoritative run of the appraisal model; no figure is recalculated by the report generator. See the Report Provenance panel on page 1 for the hashes that bind these figures to the stored calculation.